

bull market was ending was wrong. An equally important reason for avoiding discussing a target is that some readers might be tempted to stay invested to squeeze out the last drops of gain. Such an attempt could prove extremely costly if an indicated level is not precisely achieved.

Regardless of how high the Dow goes, it will ultimately fall to the downside target range indicated in Chapter 5, so the only effect a continued rise will have is to increase the *percentage* that the Dow will have to decline. For instance, the extra 27% the Dow tacked on in the final eight months in 1929 made only one difference: the Dow fell 89% instead of 86%.

It is imperative to understand that the Dow has fully realized, for all practical purposes, the big potential that lay ahead 21 and 13 years ago, *no matter what happens* on the way to "top tick." There is no way that latecoming bulls will enjoy anything close to the 640% gain that the bull market has provided so far, and every reason to believe that they will pay for whatever sin they commit in buying stocks at this late date. What's more, when the Dow shot up its last 27% in 1929, the advance-decline line went *down*, so the average stock did not participate in the Dow's final climb. Stocks then lost half their value in two months. As then, the reversal from the peak of this bull market is likely to be swift, and the higher it goes, the swifter it will be.

Recognizing the coming top may be possible upon the event, and may even be forecastable. Those exercises have been reserved for *The Elliott Wave Theorist*, where they are pursued with the usual gusto. Perhaps a future edition of this book will contain an appendix that discusses Fibonacci price relationships and even more precise time relationships, just for the record.

Pattern, price and time, then, all argue emphatically that a major peak is forming. It is *not* a "new era." A Golden Age does *not* lie directly ahead. On the contrary, we are ending one.